

TABLE 25.2 Mr. Nicholas’s Bias Diagnostic Tests

Regret Aversion Diagnostic Test

Question 1: Suppose you make an investment in mutual fund BBB, and over the next six months, BBB appreciates by your target of 20 percent. You contemplate selling but then come across an item in the financial press that rehashes the company’s recent successes and also sparks new optimism. You wonder whether BBB could rise further. Which response describes your likeliest reaction given ABC’s recent performance and the press article?

- a. I think I’ll hold off and wait to see what happens. I’d really “kick” myself if I sold now and BBB continued to go up.
- b. I’ll probably sell because ABC has hit the target I set, and I try to stick to the targets I set.

Question 2: Suppose you have decided to invest \$25,000 in one individual company stock, and you have narrowed your choice down to two companies: Big, Inc., and Medium, Inc. Big is a well-followed, eminently established company whose shareholders include many large pension funds. Medium is newer but has performed well; it has not garnered the same kind of public profile as Big, and it has few well-known investors. According to your calculations, both stocks are expected to have very similar risk and return payoffs. Which answer most closely matches your thought process in this situation?

- a. I would probably feel indifferent between the two investments because both generated the same expected parameters with respect to risk and return.
- b. I will most likely invest in Big because if I invested in Medium and my investment failed, I would feel foolish. Few well-known investors backed Medium, and I would really regret going against their informed consensus only to discover that I was wrong.
- c. I will most likely invest in Big because I feel safe taking the same course as so many respected institutional investors. If Big does decline in value, I know I won’t be the only one caught by surprise. With so many savvy professionals sharing my predicament, I could hardly blame myself for poor judgment.

Scoring Guidelines: People answering “a” in Question 1 and/or “b” or “c” in Question 2 may harbor susceptibility to regret aversion bias.

Overconfidence Bias Diagnostic Test

Question 1: How difficult do you think it was to predict the collapse of the credit bubble in the United States from 2008 to 2009?

- a. Easy
- b. Somewhat easy
- c. Somewhat difficult
- d. Difficult

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